

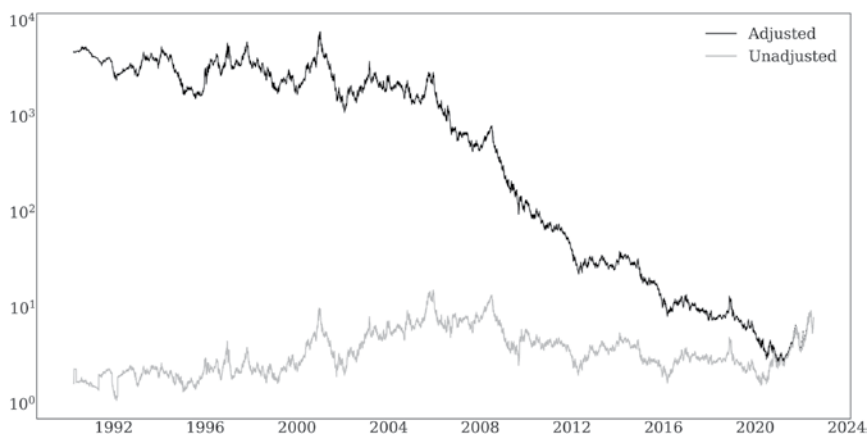


FIGURE 2.8 Adjusted versus unadjusted data for natural gas.

Sharp contango situations, as well as backwardation, can offer great opportunities but also require that you really take care of the problem of obtaining corrected time series. The trend in something like natural gas will look highly different if you simply paste one futures contract after the next as opposed to adjusting properly for basis gaps when they are spliced together. Figure 2.8 illustrates the problem, where the lighter line lacks any adjustment and simply displays the actual prices of each contract followed by the next contract upon expiry, while the second one uses a back-adjustment method as described earlier. So did the actual price move up or down? It depends on your point of view, but for a futures trader it absolutely collapsed and there was a ton of money being made on staying short. The spot price did not change anywhere near as much and actually went up over time, but if you traded the futures that is completely irrelevant because the contango effect overshadowed the spot price moves over time.

Then we have the metals where you find both the base metals and the more shiny kind. There are only four precious metals of interest for a trader because there are no liquid markets in ruthenium, osmium, and other more obscure precious metals. The elephant in this sector is naturally gold, which has a dual use as a shiny status symbol and as a psychological protection against inflation and various end-of-the-world scenarios. The value of gold is largely psychological and somewhat political because the industrial use of it is limited, but one should never underestimate the madness of large groups of people. Gold tends to be seen as a store of value and a protection against